

newspaper after every game. This early experience shows how diligent I was with numbers very early on if I became excited about something. Beginning when I was 12, I read Bill James's *Baseball Abstract* cover to cover each year. He was creating and quantifying new and interesting statistics. I don't remember the details now, but James created statistics that gave you more information and were more predictive. For example, if you had a 21-year-old hit .311, that was more interesting than a 26-year-old with the same batting average. In retrospect, Bill James's style of quantitative analysis was a very important influence in how I eventually ended up thinking about the process of building trading systems to predict the markets. After having been dismissed for several decades, over the past 10 years, Bill James's analytical style has been recognized and deployed by the baseball establishment.

What is the connection between what Bill James did for baseball statistics and your approach to trading systems?

James was creative in coming up with better measures. For example, the first batter in the rotation, who batted after the worst hitters, would have fewer opportunities for RBIs than the batter in the fourth position. James would do normalizations for those types of disparities. He would find leadoff batters who would have had a lot of RBIs once you adjusted for their batting slot and who therefore should have been batting third or fourth. I loved the logic of normalizing data.

When did you first get involved in the markets?

When I was born, my family put money for me in a managed trust. When I was 18, I started checking the prices of the stocks in my trust account in the daily paper. I checked it for a few days, and it bored me because the prices didn't change much from day to day. But I noticed that the option prices moved much more, that is, in percentage terms. At that time, the most liquid options were the OEX, which were options on the S&P 100 index. I talked my dad into opening an account for me with \$2,500. My broker recommended a trade to me, in typical broker fashion. "It's a layup," he assured me. It lost money, and I never followed another broker's recommendation in my entire life. Boom. Done. One trade; I will never do it again.